

going on, and no one was willing to answer a question or teach me anything. It was a very poor experience. But I was a very good blue button. I was very good at doing the P&Ls. I got transferred to the European desk where the people had a completely different attitude. They were very happy to talk to me and to teach me.

At what point were you allowed to trade?

After I was there for about one year, I was given the Scandinavian market-making book. I was going to run the book for one week because the trader was on holiday. This first week that I was given a book to run on my own was the week of the October 1987 crash.

So, literally, October 19, 1987, was the first day you were allowed to trade?

Yes.

That has to be the most interesting trading start date I have ever heard, or I am sure that I will ever hear. At least you had no positions coming in.

Oh, no, I took over the book.

And your boss was incommunicado?

He was on holiday. The previous week we had been told that we would be receiving a large institutional buy order for a basket of stocks. The trader I worked for had bought those stocks in anticipation of buying support. So I came in Monday morning long only.

The most vivid memory I have of the day is making a price in a stock called Electrolux. I get a call asking for a price on Electrolux. I say they are 43 bid/44 offered. He offers 10,000 shares at 43. I buy 2,500 shares and put the phone down. I then change my price to 42½ bid/43½ offered. The phone rings again, and I give the caller my new quote. He offers 10,000 shares, and I buy 2,500 at 42½. I reason that if I drop my price by a full \$1 to 41½/42½, and I get hit on the offer, I would be selling my shares at a loss. This is how I was thinking on the morning of the crash. So I set the price at 42/43. The phone rings, and once again I get hit with an offer, so I bought another 2,500 shares at 42.